Session 8 · Money Transmission

Reading Packet · Monday, October 26, 2026 · HRH-A, 10:00–11:50

The assignment

Read the eight documents in this packet in order. The first four are primary records from a single episode: a payments company preparing to go public in early 2002 while state regulators decided whether it was an unlicensed bank, an unlicensed money transmitter, or neither. The last four are the law you will apply in class to that episode and to a new fact pattern handed out at the end of the session. The background note below introduces the institutions and statutes the documents assume you know.

Budget about two hours. Read the statutory material slowly; most of the class will be worked from the exact words of the model act.

Background

The players. PayPal launched in late 1999 as a service of Confinity, Inc., merged into X.com in March 2000, and took the PayPal name in 2001. It filed to go public in September 2001 and priced its offering on February 14, 2002. Its outside regulatory counsel was Paul, Hastings, Janofsky & Walker, whose letters to New York are the subject of Documents 1 and 2. The regulators in the story are the New York State Banking Department (merged into the Department of Financial Services in 2011) and the Louisiana Office of Financial Institutions, which still exists and whose 2026 statute closes the packet.

Three layers of law. Money transmission in the United States is licensed state by state. Forty-nine states, the District of Columbia, and the territories each require a license before a company may receive money from their residents for transmission; there is no federal license, and no state license is reciprocal. The central text in this packet is the

Money Transmission Modernization Act (Document 5), a model statute drafted in 2021 by the Conference of State Bank Supervisors (CSBS), the association of the state banking regulators themselves. About 35 states, including Georgia, have since enacted it in whole or in part. It is a model, not a compact: each state adopts its own version, and a national company still needs a license from each.

Two federal overlays sit on top of that. 18 U.S.C. § 1960 (Document 6) makes it a federal felony to operate a money transmitting business without a state license that state law requires. And the Bank Secrecy Act, administered by the Financial Crimes Enforcement Network (FinCEN), a bureau of the Treasury Department, requires every "money services business" to register with FinCEN and maintain an anti-money laundering program; the regulation that defines who is a money transmitter for that purpose is Document 7. Registration with FinCEN is a reporting obligation. It authorizes nothing, and it is not a license. Much of Monday turns on keeping those three layers distinct.

As you read, be ready to answer

1. In July 2000, New York said PayPal did not need a license. On what facts, and on what reasoning? Which of those facts was no longer true by February 2002?
2. New York and Louisiana looked at the same product and reached different conclusions. What were they?
3. What feature of PayPal's product did both states identify as the problem, and what did the company change in response?
4. PayPal had registered with FinCEN and had an anti-money laundering program. Why did neither fact help it in Louisiana?
5. Under the model act, what three activities are "money transmission"? Which of them did PayPal engage in?
6. What has to be true for a person to be an "agent of a payee" under § 3.01(b) of the model act? Why does that exemption matter for marketplaces and ride-share companies but not for a wallet?
7. What is "average daily money transmission liability," and what two requirements does it drive?
8. Under 18 U.S.C. § 1960(b)(1)(A), does the government have to prove the defendant knew a state license was required?

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EDITOR'S NOTE

Editorial conventions. Excerpts are reproduced from the public record without alteration except as marked. Omitted passages are shown as " * * * ". Bracketed italic text is the editor's. Page references in the original documents have been removed. Source links appear at the head of each document.

DOCUMENT 1

New York State Banking Department — Banking Interpretations, Letter of July 18, 2000

SOURCE New York State Department of Financial Services, Banking Interpretations archive (Banking Law: Letter of July 18, 2000), indexed under Banking Law § 641(1). https://www.dfs.ny.gov/legal/interpret/lo000718.htm. The addressee's name is redacted in the published version; the January 2001 letter (Document 2) identifies counsel as Claudia Callaway of Paul, Hastings, Janofsky & Walker.

EDITOR'S NOTE

This is the Department's first word on PayPal, written nine months after launch and before the company had any state license anywhere. Note three things: the facts counsel presented (payments funded only by credit card or ACH debit), the reasoning the Department used to find those facts adequate without a license, and the one feature it carved out. The S-1 risk factor in Document 3 tells you how the product had changed by 2002.

July 18, 2000

Dear [addressee redacted]:

Your letter of July 13, 2000 to Deputy and Counsel Kelsey, which concerns the activities of your client, Confinity, Inc., has been referred to me for reply. In your letter, you indicate that your client, a California-based corporation with no physical presence in New York, offers its "PayPal" payment service to residents of the United States who have an E-Mail address, under which individuals may send money to other individuals either through the use of a credit card or through an authorized ACH debit from a bank account "with the requirement that the monies be directed to the recipients E-Mail address" (I do not understand how monies can be directed to an E-Mail address and am assuming that you are referring to the fact that all those who authorize account debits must provide the E-Mail address of the intended recipient of the monies). This service is offered exclusively through the Internet and is utilized by individuals who wish to make payments to others in connection with the purchase of goods and services. You mention in your letter that PayPal is currently available in connection with purchases made at the E-Bay auction site.

You indicate that the sender of the monies is given immediate notification as to whether the transaction is approved or declined by the credit card company and, contemporaneous with the transaction approval, the intended recipient of the monies is

notified by E-Mail that the sender has sent the monies. You further indicate that the intended recipient of the monies is given the option of having PayPal (1) deposit the monies into his/her bank account, which must be located in the United States; (2) send him/her a check for the amount; or (3) keep the monies on account so that he/she may use the balance to send those monies to others. In view of the activities of your client, you ask whether those activities require that a money transmission license be obtained from the Banking Department.

The definition of "money transmission" in Article XIII-B of the New York Banking Law is very broad. The intent of the New York legislature was to, among other things, minimize the risk of loss to New York customers who utilize third parties to transmit funds and ensure that persons and entities which engage in money transmission activities do not utilize their services to facilitate the conduct of illegal activities. PayPals method of operation, as described in your letter, appears to address the concerns of the legislature. For those utilizing a credit card to effectuate a funds transfer, the Federal laws limiting the liability of credit cardholders in cases in which there is unauthorized usage or disputed charges minimize the risk of any losses arising from a transaction through PayPal. Likewise, users of the PayPal system who choose to have their bank accounts debited to effectuate payments to others would be protected by the NACH rules and it would appear, to some extent, by Regulation E of the Federal Reserve Board.

As for the potential for individuals utilizing the PayPal service for illegal activities, it appears that restricting the method of payment to credit cards and bank account debits minimizes the risk that the PayPal system will be utilized for illegal purposes given the amount of oversight existent here.

Considering the foregoing, the Banking Department will interpose no objection at this time to your client offering PayPal services to New York customers without being licensed under Article XIII-B of the Banking Law. The Department reserves the right to amend its opinion should the manner in which PayPal operates changes from what is set forth in your letter. Unfortunately, the Department believes that PayPals option under which payment money is kept on account for future use constitutes illegal banking. Although this matter is one that may be resolved by the appropriate government agency in California, this Department believes that this option should not be offered to New York residents.

I trust that this letter is of assistance to you.

Very truly yours,

Steven Barras
Assistant Counsel

DOCUMENT 2

New York State Banking Department — Banking Interpretations, Letter of January 10, 2001

SOURCE New York State Department of Financial Services, Banking Interpretations archive (Banking Law: Letter of January 10, 2001). Reproduced from the Department's web archive. The New York State Banking Department was merged into the Department of Financial Services in 2011.

EDITOR'S NOTE

This letter responds to a request from PayPal's outside counsel for a determination whether the "Premier" account tier required a New York license. Read it alongside the S-1 risk factor in Document 3, which was written thirteen months later. Note what the Department does not object to, what it does object to, and the jurisdictional fact it asked counsel to verify.

January 10, 2001

Claudia Callaway, Esq.

Paul, Hastings, Janofsky & Walker LLP

1299 Pennsylvania Avenue, N.W.

Washington, D.C. 20004-2400

Dear Ms. Callaway:

Your letter to me dated December 5, 2000 asks that the Banking Department determine whether the new PayPal "Premier" service offered by your client, X.Com, would require any licensing under the Banking Law. In July 2000, this Department indicated to you that the PayPal service, as described in your July 13, 2000 letter, did not require a money transmission license in New York.

The description of the "Premier" service in your letter indicates that the new service is similar to the regular PayPal service. The differences appear to be that individuals utilizing the "Premier" service may receive payments via the Internet in an aggregate amount exceeding $500 or more in a six month period and such individuals are charged a fee for that service. Additionally, you note that "premier" users are eligible to use certain premium features of the PayPal service "that facilitate the integration of PayPal into the Premier user's online or Web site sales." According to your letter, most of the "premier"

customers are individuals who are using the PayPal system to receive payments for goods sold over the Internet.

In a letter to me dated December 13, 2000, you verified, at my request, that the company operating the PayPal system does not have any offices or agents in New York and does not maintain any bank accounts in New York. Consequently, the Banking Department reiterates its previous determination that it will interpose no objection at this time to your client offering PayPal services to New York customers. The introduction of the "Premier" option does not modify the prior opinion because the basic nature of the PayPal system remains unchanged. The Banking Department's previous comment concerning the banking aspect of PayPal's option to keep money on account for future use is also reaffirmed and we once again request that such option not be offered to New York customers.

I trust that this letter is of assistance to you.

Very truly yours,

Steven Barras
Assistant Counsel

DOCUMENT 3

PayPal, Inc. — Form S-1/A, Amendment No. 8 (filed February 14, 2002)

Excerpt from "Risk Factors — Risks Related to Our Business"

SOURCE SEC EDGAR, Registration No. 333-70438, Amendment No. 8 to Form S-1, filed February 14, 2002. https://www.sec.gov/Archives/edgar/data/1103415/000091205702005893/a2060419zs-1a.htm

EDITOR'S NOTE

PayPal filed its original S-1 on September 28, 2001 and amended it eight times before pricing. This is the last pre-pricing amendment. The offering priced at $13.00 per share; eBay acquired the company in October 2002. The risk factor below was in substantially this form in every amendment; the February 7, 2002 Louisiana letter was added in the final week. Read the first subsection for what the company admits it does not know, and the second for what it had actually obtained.

Our status under state, federal and international financial services regulation is unclear. Violation of any present or future regulation could expose us to substantial liability, force us to change our business practices or force us to cease offering our current product.

We operate in an industry subject to government regulation. We currently are subject to some states' money transmitter regulations, to federal regulations in our role as transfer agent and investment adviser to the PayPal Money Market Reserve Fund and to federal electronic fund transfer and money laundering regulations. In the future, we might be subjected to:

* * *

If we are found to be in violation of any current or future regulations, we could be:

* * *

If we were found subject to or in violation of any laws or regulations governing banking, we could be subject to liability and forced to change our business practices.

We believe the licensing requirements of the Office of the Comptroller of the Currency, the Federal Reserve Board or other federal or state agencies that regulate or monitor banks or other types of providers of electronic commerce services do not apply to us,

except for certain money transmitter licenses mentioned below. One or more states may conclude that, under its or their statutes, we are engaged in an unauthorized banking business. We have received written communications from regulatory authorities in New York, most recently in February 2002, and Louisiana expressing the view that our service constitutes an unauthorized banking business, and from authorities in California and Idaho that our service might constitute an unauthorized banking business. We have taken steps to address these states' concerns, but cannot provide assurances that these steps will be effective in any of these states. We have received correspondence from the New York State Banking Department in July 2000, January 2001 and February 2002 that states its position that the ability of customers to keep money on account constitutes impermissible banking. If we are found to be engaged in an unauthorized banking business, we might be subject to monetary penalties and adverse publicity and might be required to cease doing business with residents of those states. Even if the steps we have taken to resolve these states' concerns are deemed sufficient by the state regulatory authorities, we could be subject to fines and penalties ranging from $1,000 for each violation up to $25,000 per day, to the lesser of $250,000 or 1% of our assets per day in the most severe cases in New York, and $1,000 per day in Louisiana. We began offering our service to residents of New York and Louisiana in October 1999.

If we were found subject to or in violation of any laws or regulations governing money transmitters, we could be subject to liability and forced to change our business practices.

A number of states have enacted legislation regulating check sellers, money transmitters or service providers to banks, and we have applied for, or are in the process of applying for, licenses under this legislation in 18 jurisdictions. To date, we have obtained licenses in two states. As a licensed money transmitter, we are subject to bonding requirements, restrictions on our investment of customer funds, reporting requirements and inspection by state regulatory agencies. If our pending applications were denied, or if we were found to be subject to and in violation of any banking or money services laws or regulations, we also could be subject to liability or forced to cease doing business with residents of certain states or to change our business practices. Even if we are not forced to change our business practices, we could be required to obtain licenses or regulatory approvals that could impose a substantial cost on us. On February 7, 2002, Louisiana regulatory authorities sent a letter to our counsel directing us to cease performing money transmission services for Louisiana consumers and businesses at least until the

unauthorized banking issue has been resolved. Previously on January 28, 2002, Louisiana regulatory authorities had sent a letter to our counsel requesting that we apply for a money transmission license.

We are subject to laws and regulations on money laundering and other illegal activities that could have a material adverse impact on our business and could subject us to civil and criminal liability.

We are subject to money laundering laws that prohibit, among other things, our involvement in transferring the proceeds of criminal activities. We are subject to regulations that will require us to register with the Department of Treasury and to report suspicious activities involving transactions of $2,000 or more. The interpretation of suspicious activities in this context is uncertain. These regulations could impose significant costs on us or make it more difficult for new customers to join our network. We could be required to learn more about our customers before opening an account, or to monitor our customers' activities more closely. These requirements could raise our costs significantly or reduce the attractiveness of our product. On October 26, 2001 President Bush signed into law the International Money Laundering Abatement and Financial Anti-Terrorism Act of 2001. This Act, among other things, may require us to revise our anti-money laundering program and the procedures we take to verify the identity of our customers, and to monitor more closely international transactions. Because the Act is new, few implementing regulations have been passed and the interpretation and applicability of the Act to our business is uncertain. Future regulations under this Act may impose substantial burdens on our business. Failure to comply with this Act or other applicable state and federal money laundering laws could result in significant criminal and civil penalties and forfeiture of significant assets.

* * *

Excerpt from "Business — Government Regulation" (final prospectus, Form 424B4, February 2002)

SOURCE SEC EDGAR, Form 424B4, filed February 2002.
https://www.sec.gov/Archives/edgar/data/1103415/000091205702006471/a2071068z424b4.htm

* * *

Eight states did not reply to our inquiries.

The 15 jurisdictions that have indicated they believe we require a money services business license are Arizona, California (as to transmission of money abroad), Colorado,

the District of Columbia, Idaho, Louisiana, Maine, Massachusetts (as to transmission of money abroad), Maryland, Nebraska, Oregon, Texas, Virginia, Vermont and West Virginia.

* * *

Of these 18 jurisdictions, we have obtained a money services business license in only three states, Oregon, West Virginia and Maryland.

* * *

On February 7, 2002 the Louisiana Office of Financial Institutions sent a letter to our regulatory counsel directing us to cease performing money transmission services for Louisiana consumers and businesses at least until we have resolved the issue of whether we are engaged in the business of banking without a license. Under the Louisiana statute, "money transmission" is defined as engaging in the business of receiving money or monetary value for transmission, including electronic transmission, to a location within or outside of the United States.

* * *

Our application in California has not been deemed complete.

* * *

In California, a money transmitter license is required only for engaging in the business of transmission of money abroad. After discussions with the California Department of Financial Institutions, while our application for a California license is pending, we have suspended processing money transfer payments to international accounts.

We have not to date been fined or received notice of fines or other penalties under state or federal money transmitter laws.

DOCUMENT 4

PayPal, Inc. — Form 10-Q for the quarter ended June 30, 2002 (filed August 6, 2002)

Excerpt from Note 14, "Legal and Regulatory Matters"

SOURCE SEC EDGAR, Commission file no. 000-49603.
https://www.sec.gov/Archives/edgar/data/1103415/000091205702030120/a2085776z10-q.htm

EDITOR'S NOTE

Six months after the IPO. Note the sequence: the structural change in February, the Louisiana and Idaho licenses in March, and the New York conclusion in June. The company describes "two principal steps" it took so that customers would not be "keeping money on account"; the enumerated steps are not reproduced here, but their substance appears in the "FDIC Advisory Opinion" paragraphs that follow.

Bank Regulatory Matters

Because the Company is not licensed as a bank, it is not permitted to engage in a banking business. The Company does not require customers to keep funds in the Company's system in order to use the Company's product. Although the definition of a "banking business" varies among state laws, and is not limited to entities that take deposits, the Company believes that its principal risk of being deemed to be engaged in unauthorized banking activities, as indicated in the concerns raised by the four states described below, arises from the possibility that the Company may be deemed to be keeping money on account for customers or otherwise accepting deposits. The Company has taken two principal steps intended to create the result that customers who carry balances available for future spending through PayPal are not "keeping money on account" with the Company:

* * *

In response to the Company's contacts with state regulatory authorities beginning in the summer of 2000 regarding the applicability of money transmitter laws, regulatory authorities in New York and Louisiana stated their view that the ability of the Company's customers to leave amounts on account with the Company for future transfer represented the conduct of a banking business, and authorities in California and Idaho

questioned whether the Company was engaged in a banking business. The Company received written communications to this effect from these authorities commencing in the summer of 2000 and, in the case of Idaho, in January 2001.

The Company has been in recent contact with the staffs of each of these regulatory authorities. In March 2002, after reviewing information the Company had provided regarding the steps the Company had taken to change its service, Louisiana and Idaho issued money transmitter licenses to the Company, and California accepted the Company's money transmitter license for processing. These states have not, however, issued an opinion as to whether the Company is engaged in unauthorized banking under their state laws.

On June 7, 2002, the Company received a letter from counsel to the New York Banking Department stating that the Department has concluded, based on its review of the Company's business model and the relationship between the Company and its customers created by the Company's User Agreement, that the Company is not currently engaged in illegal banking. The New York Banking Department remains free to change its conclusion if the Company changes its business model or its relationship with their customers. The New York Banking Department also encouraged the Company to submit an application to obtain a New York money transmitter license as soon as practicable. The Company submitted the application in June 2002.

If the Company were found to be subject to and in violation of any banking laws or regulations in any state, not only the four that have expressed concern, the Company could be subject to liability, which in some states may include high fines for each day of noncompliance, or forced to cease doing business with residents of those states or to change the Company's business practices. Even if the Company is not forced to cease doing business with residents of certain states or to change its business practices to comply with banking laws and regulations, the Company could be required to obtain licenses or regulatory approvals that could impose a substantial cost on the Company. The need to comply with state laws prohibiting unauthorized banking activities could also limit the Company's ability to enhance the products and services it offers to customers.

FDIC Advisory Opinion

Beginning in the first quarter of 2002, the Company deposits all U.S.-based customer funds not transferred to the PayPal Money Market Reserve Fund in FDIC-insured bank accounts. The objective of this strategy is to obtain pass-through FDIC insurance for

individual PayPal users covering their available PayPal account balances. On February 15, 2002, the Company received an advisory opinion from the Federal Deposit Insurance Corporation (the "FDIC") on the availability of pass-through FDIC insurance for its customers. This opinion concluded that pass-through FDIC insurance would be available to the Company's customers if the Company (1) places pooled customer funds in bank accounts denominated "PayPal as Agent for the Benefit of its Customers" or similar caption, (2) maintains records sufficient to identify the claim of each customer in the FDIC-insured account, (3) complies with applicable FDIC recordkeeping requirements, and (4) truly operates as an agent of its customers.

In connection with the Company's implementation of steps to establish that the Company is truly operating as an agent, as set forth in the FDIC advisory opinion, in February 2002, the Company transferred customer funds previously held in bank money market accounts into non interest-bearing bank accounts.

As these customer funds have been transferred into non-interest bearing accounts, the Company's revenues from interest on funds held for others in future periods will decline. For the three and six months ended June 30, 2002, these revenues represented $43,000, and $471,000 and 0.1% and 0.5% of the Company's total revenues, respectively. For the three and six months ended June 30, 2001, these revenues represented $920,000, and $2.1 million and 4.7% and 6.1% of the Company's total revenues, respectively. As a result, substantially all cash and investments held for the benefit of customers and the associated liabilities will be removed from the Company's balance sheet in future periods.

Excerpt from Note 4, "Restricted Cash and Investments"

Pursuant to the Company's money transmitter licenses in various states, the Company has to comply with statutory bonding requirements. In March 2002, the Company obtained a $6.6 million irrevocable standby letter of credit for the benefit of the bonding company from a financial institution to support the issuance of such bonds. As of June 30, 2002, the Company has pledged cash, in the form of certificates of deposit, totaling $6.6 million to secure the letter of credit. This amount is classified as restricted cash.

Excerpt from Note 11, "Mandatorily Redeemable Convertible Preferred Stock and Stockholders' Equity (Deficit)"

In February 2002, the Company completed its initial public offering. Including the underwriters' exercise in full of their over-allotment option, the Company issued 6,210,000 shares of its common stock at a price of $13.00 per share. The Company

received approximately $69.9 million in proceeds, net of underwriting discounts, commissions, and offering expenses. Simultaneously with the closing of the initial public offering, each outstanding share of Mandatorily Redeemable Convertible Preferred Stock was automatically converted into common stock based on the appropriate conversion ratio.

DOCUMENT 5

Conference of State Bank Supervisors — Model Money Transmission Modernization Act (2021), selected sections

SOURCE CSBS, Model Money Transmission Modernization Act (approved for state adoption 2021). https://www.csbs.org/sites/default/files/2023-02/CSBS%20Money%20Transmission%20Modernization%20Act.pdf. Bracketed text in the model act is the drafters' own, marking terms for each state to fill in.

EDITOR'S NOTE

As of August 2026 CSBS counts 35 states that have enacted the model act in whole or in part. Georgia adopted parts of it by statute in 2022 and 2023 and by rule since. Louisiana adopted it in June 2026 (Document 8). The excerpts below are the provisions the class will work from; drafters' footnoted commentary is omitted except where noted.

ARTICLE I — Short Title & Purpose

Section 1.02 Purpose. This [Act] is designed to replace existing state money transmission laws currently codified at [insert relevant citation]. It is the intent of the Legislature that the provisions of this [Act] accomplish the following:

(a) Ensure states can coordinate in all areas of regulation, licensing, and supervision to eliminate unnecessary regulatory burden and more effectively utilize regulator resources;

(b) Protect the public from financial crime;

(c) Standardize the types of activities that are subject to licensing or otherwise exempt from licensing; and

(d) Modernize safety and soundness requirements to ensure customer funds are protected in an environment that supports innovative and competitive business practices.

ARTICLE II — Definitions

Section 2.01 Definitions. For purposes of this [Act], the following definitions shall apply:

* * *

(c) "Average daily money transmission liability" means the amount of the licensee's outstanding money transmission obligations [in this state] at the end of each day in a given period of time, added together, and divided by the total number of days in the given period of time. For purposes of calculating average daily money transmission liability under this [Act] for any licensee required to do so, the given period of time shall be the quarters ending March 31, June 30, September 30, and December 31.

* * *

(e) "Closed loop stored value" means stored value that is redeemable by the issuer only for goods or services provided by the issuer or its affiliate or franchisees of the issuer or its affiliate, except to the extent required by applicable law to be redeemable in cash for its cash value;

(f) "Control" means

> (1) (A) the power to vote, directly or indirectly, at least 25 percent of the outstanding voting shares or voting interests of a licensee or person in control of a licensee;
>
> (B) the power to elect or appoint a majority of key individuals or executive officers, managers, directors, trustees, or other persons exercising managerial authority of a person in control of a licensee; or
>
> (C) the power to exercise, directly or indirectly, a controlling influence over the management or policies of a licensee or person in control of a licensee.
>
> (2) Rebuttable Presumption of Control. (A) A person is presumed to exercise a controlling influence when the person holds the power to vote, directly or indirectly, at least 10 percent of the outstanding voting shares or voting interests of a licensee or person in control of a licensee. (B) A person presumed to exercise a controlling influence as defined by this [Section 2.01(f)] can rebut the presumption of control if the person is a passive investor.

* * *

(j) "In this state" means at a physical location within this state for a transaction requested in person. For a transaction requested electronically or by phone, the provider of money transmission may determine if the person requesting the

transaction is "in this state" by relying on other information provided by the person regarding the location of the individual's residential address or a business entity's principal place of business or other physical address location, and any records associated with the person that the provider of money transmission may have that indicate such location, including but not limited to an address associated with an account.

* * *

(o) "Money" means a medium of exchange that is authorized or adopted by the United States or a foreign government. The term includes a monetary unit of account established by an intergovernmental organization or by agreement between two or more governments.

(p) "Monetary value" means a medium of exchange, whether or not redeemable in money.

(q) "Money transmission" means any of the following:

(1) Selling or issuing payment instruments to a person located in this state.

(2) Selling or issuing stored value to a person located in this state.

(3) Receiving money for transmission from a person located in this state.

The term includes payroll processing services. The term does not include the provision solely of online or telecommunications services or network access.

* * *

(u) "Outstanding money transmission obligations" shall be established and extinguished in accordance with applicable state law and shall mean:

(1) Any payment instrument or stored value issued or sold by the licensee to a person located in the United States or reported as sold by an authorized delegate of the licensee to a person that is located in the United States that has not yet been paid or refunded by or for the licensee, or escheated in accordance with applicable abandoned property laws; or

(2) Any money received for transmission by the licensee or an authorized delegate in the United States from a person located in the United States that

has not been received by the payee or refunded to the sender, or escheated in accordance with applicable abandoned property laws.

* * *

(v) "Passive investor" means a person that: (1) Does not have the power to elect a majority of key individuals or executive officers, managers, directors, trustees, or other persons exercising managerial authority of a person in control of a licensee; (2) Is not employed by and does not have any managerial duties of the licensee or person in control of a licensee; (3) Does not have the power to exercise, directly or indirectly, a controlling influence over the management or policies of a licensee or person in control of a licensee; and (4) Either: (A) Attests to (1), (2), and (3), in a form and in a medium prescribed by the [Commissioner]; or (B) Commits to the passivity characteristics of (1), (2), and (3), in a written document.

(w) "Payment instrument" means a written or electronic check, draft, money order, traveler's check, or other written or electronic instrument for the transmission or payment of money or monetary value, whether or not negotiable. The term does not include stored value or any instrument that (1) is redeemable by the issuer only for goods or services provided by the issuer or its affiliate or franchisees of the issuer or its affiliate, except to the extent required by applicable law to be redeemable in cash for its cash value; or (2) not sold to the public but issued and distributed as part of a loyalty, rewards, or promotional program.

(x) "Payroll processing services" means receiving money for transmission pursuant to a contract with a person to deliver wages or salaries, make payment of payroll taxes to state and federal agencies, [make payments relating to employee benefit plans], or make distributions of other authorized deductions from wages or salaries. The term payroll processing services does not include an employer performing payroll processing services on its own behalf or on behalf of its affiliate[, or a professional employment organization subject to regulation under other applicable state law].

(y) "Person" means any individual, general partnership, limited partnership, limited liability company, corporation, trust, association, joint stock corporation, or other corporate entity identified by the [Commissioner].

(z) "Receiving money for transmission" or "money received for transmission" means receiving money or monetary value in the United States for transmission within or outside the United States by electronic or other means.

(aa) "Stored value" means monetary value representing a claim against the issuer evidenced by an electronic or digital record, and that is intended and accepted for use as a means of redemption for money or monetary value, or payment for goods or services. The term includes, but is not limited to, "prepaid access" as defined by 31 C.F.R. Section 1010.100, as amended or recodified from time to time. Notwithstanding the foregoing, the term "stored value" does not include a payment instrument or closed loop stored value, or stored value not sold to the public but issued and distributed as part of a loyalty, rewards, or promotional program.

(bb) "Tangible net worth" shall mean the aggregate assets of a licensee excluding all intangible assets, less liabilities, as determined in accordance with United States generally accepted accounting principles.

ARTICLE III — Exemptions

Section 3.01 Exemptions. This [Act] does not apply to:

(a) An operator of a payment system to the extent that it provides processing, clearing, or settlement services, between or among persons exempted by this [Section 3.01] or licensees, in connection with wire transfers, credit card transactions, debit card transactions, stored-value transactions, automated clearing house transfers, or similar funds transfers.

(b) A person appointed as an agent of a payee to collect and process a payment from a payor to the payee for goods or services, other than money transmission itself, provided to the payor by the payee, provided that:

(1) there exists a written agreement between the payee and the agent directing the agent to collect and process payments from payors on the payee's behalf;

(2) the payee holds the agent out to the public as accepting payments for goods or services on the payee's behalf; and

(3) payment for the goods and services is treated as received by the payee upon receipt by the agent so that the payor's obligation is extinguished and

there is no risk of loss to the payor if the agent fails to remit the funds to the payee.

(c) A person that acts as an intermediary by processing payments between an entity that has directly incurred an outstanding money transmission obligation to a sender, and the sender's designated recipient, provided that the entity:

(1) is properly licensed or exempt from licensing requirements under this [Act];

(2) provides a receipt, electronic record, or other written confirmation to the sender identifying the entity as the provider of money transmission in the transaction; and

(3) bears sole responsibility to satisfy the outstanding money transmission obligation to the sender, including the obligation to make the sender whole in connection with any failure to transmit the funds to the sender's designated recipient.

(d) The United States or a department, agency, or instrumentality thereof, or its agent.

(e) Money transmission by the United States Postal Service or by an agent of the United States Postal Service.

(f) A state, county, city, or any other governmental agency or governmental subdivision or instrumentality of a state, or its agent.

(g) A federally insured depository financial institution, bank holding company, office of an international banking corporation, foreign bank that establishes a federal branch pursuant to the International Bank Act, 12 U.S.C. Section 3102, as amended or recodified from time to time, corporation organized pursuant to the Bank Service Corporation Act, 12 U.S.C. Sections 1861-1867, as amended or recodified from time to time, or corporation organized under the Edge Act, 12 U.S.C. Sections 611-633, as amended or recodified from time to time.

* * *

(k) A person registered as a securities broker-dealer under federal or state securities laws to the extent of its operation as such a broker-dealer.

* * *

(m) A person expressly appointed as a third party service provider to or agent of an entity exempt under [Section 3.01(g)], solely to the extent that: (1) such service provider or agent is engaging in money transmission on behalf of and pursuant to a written agreement with the exempt entity that sets forth the specific functions that the service provider or agent is to perform; and (2) the exempt entity assumes all risk of loss and all legal responsibility for satisfying the outstanding money transmission obligations owed to purchasers and holders of the outstanding money transmission obligations upon receipt of the purchaser's or holder's money or monetary value by the service provider or agent.

(n) A person exempt by regulation or order if the [Commissioner] finds such exemption to be in the public interest and that the regulation of such person is not necessary for the purposes of this [Act].

Section 3.02 Authority to Require Demonstration of Exemption. The [Commissioner] may require that any person claiming to be exempt from licensing pursuant to [Section 3.01] provide information and documentation to the [Commissioner] demonstrating that it qualifies for any claimed exemption.

ARTICLE V — Money Transmission Licenses

Section 5.01 License Required.

(a) A person may not engage in the business of money transmission or advertise, solicit, or hold itself out as providing money transmission unless the person is licensed under this [Act];

(b) [Section 5.01(a)] does not apply to: (1) A person that is an authorized delegate of a person licensed under this [Act] acting within the scope of authority conferred by a written contract with the licensee; or (2) A person that is exempt pursuant to [Section 3.01] and does not engage in money transmission outside the scope of such exemption.

(c) A license issued under [Section 5.05] is not transferable or assignable.

* * *

Section 5.07 Maintenance of License.

* * *

(b) An applicant for a money transmission license must demonstrate that it meets or will meet, and a money transmission licensee must at all times meet, the requirements in [Sections 10.01, 10.02, and 10.03] of this [Act].

ARTICLE VI — Acquisition of Control and Change of Key Individual

Section 6.01 Acquisition of Control.

(a) Any person, or group of persons acting in concert, seeking to acquire control of a licensee shall obtain the written approval of the [Commissioner] prior to acquiring control. An individual is not deemed to acquire control of a licensee and is not subject to these acquisition of control provisions when that individual becomes a key individual in the ordinary course of business.

* * *

(j) The requirements of [Section 6.01(a) and (b)] do not apply to any of the following:

(1) A person that acts as a proxy for the sole purpose of voting at a designated meeting of the shareholders or holders of voting shares or voting interests of a licensee or a person in control of a licensee;

(2) A person that acquires control of a licensee by devise or descent;

(3) A person that acquires control of a licensee as a personal representative, custodian, guardian, conservator, or trustee, or as an officer appointed by a court of competent jurisdiction or by operation of law;

(4) A person that is exempt under [Section 3.01(g)];

(5) A person that the [Commissioner] determines is not subject to [Section 6.01(a)] based on the public interest;

(6) A public offering of securities of a licensee or a person in control of a licensee; or

(7) An internal reorganization of a person in control of the licensee where the ultimate person in control of the licensee remains the same.

(k) Persons in [Sections 6.01(j)(2), (3), (4), (6), (7)] in cooperation with the licensee shall notify the [Commissioner] within [15] days after the acquisition of control.

* * *

ARTICLE VIII — Authorized Delegates

* * *

Section 8.02 Unauthorized Activities. A person shall not engage in the business of money transmission on behalf of a person not licensed under this [Act] or not exempt pursuant to [Article III] of this [Act]. A person that engages in such activity provides money transmission to the same extent as if the person were a licensee, and shall be jointly and severally liable with the unlicensed or nonexempt person.

ARTICLE IX — Timely Transmission, Refunds, and Disclosures

Section 9.01 Timely Transmission.

(a) Every licensee shall forward all money received for transmission in accordance with the terms of the agreement between the licensee and the sender unless the licensee has a reasonable belief or a reasonable basis to believe that the sender may be a victim of fraud or that a crime or violation of law, rule, or regulation has occurred, is occurring, or may occur.

(b) If a licensee fails to forward money received for transmission in accordance with this section, the licensee must respond to inquiries by the sender with the reason for the failure unless providing a response would violate a state or federal law, rule, or regulation.

* * *

ARTICLE X — Prudential Standards

Section 10.01 Net Worth.

(a) A licensee under this [Act] shall maintain at all times a tangible net worth of the greater of $100,000 or 3 percent of total assets for the first $100 million, 2 percent of additional assets for $100 million to $1 billion, and 0.5 percent of additional assets for over $1 billion.

(b) Tangible net worth must be demonstrated at initial application by the applicant's most recent audited or unaudited financial statements pursuant to [Section 5.03(b)(6)].

(c) Notwithstanding the foregoing provisions of this [Section 10.01], the [Commissioner] shall have the authority, for good cause shown, to exempt, in-part or in whole, from the requirements of this [Section 10.01] any applicant or licensee.

Section 10.02 Surety Bond.

(a) An applicant for a money transmission license must provide, and a licensee at all times must maintain, security consisting of a surety bond [in a form satisfactory to the [Commissioner]] [or, with the [Commissioner]'s approval, a deposit instead of a bond in accordance with this [Section 10.02].]

(b) The amount of the required security shall be:

(1) the greater of [$100,000] or an amount equal to one hundred percent of the licensee's average daily money transmission liability in this state calculated for the most recently completed three-month period, up to a maximum of [$500,000];[or

(2) [in the event that the licensee's tangible net worth exceeds [10]% of total assets, the licensee shall maintain a surety bond of [$100,000.]]

(c) A licensee that maintains a bond in the maximum amount provided for in [Section 10.02(b)(1) [or (2), as applicable]] shall not be required to calculate its average daily money transmission liability in this state for purposes of this [Section 10.02].

(d) A licensee may exceed the maximum required bond amount pursuant to [Section 10.04(a)(5)].

Section 10.03 Maintenance of Permissible Investments.

(a) A licensee shall maintain at all times permissible investments that have a market value computed in accordance with United States generally accepted accounting principles of not less than the aggregate amount of all of its outstanding money transmission obligations.

(b) Except for permissible investments enumerated in [Section 10.04(a)], the [Commissioner], with respect to any licensee, may by [rule or order] limit the extent to which a specific investment maintained by a licensee within a class of permissible investments may be considered a permissible investment, if the specific investment represents undue risk to customers, not reflected in the market value of investments.

(c) Permissible investments, even if commingled with other assets of the licensee, are held in trust for the benefit of the purchasers and holders of the licensee's outstanding money transmission obligations in the event of insolvency, the filing of a petition by or against the licensee under the United States Bankruptcy Code, 11 U.S.C. Section 101-110, as amended or recodified from time to time, for bankruptcy or reorganization, the filing of a petition by or against the licensee for receivership, the commencement of any other judicial or administrative proceeding for its dissolution or reorganization, or in the event of an action by a creditor against the licensee who is not a beneficiary of this statutory trust. No permissible investments impressed with a trust pursuant to this [Section 10.03(c)] shall be subject to attachment, levy of execution, or sequestration by order of any court, except for a beneficiary of this statutory trust.

* * *

Section 10.04 Types of Permissible Investments.

(a) The following investments are permissible under [Section 10.03]:

(1) cash (including demand deposits, savings deposits, and funds in such accounts held for the benefit of the licensee's customers in a federally insured depository financial institution) and cash equivalents including ACH items in transit to the licensee and ACH items or international wires in transit to a payee, cash in transit via armored car, cash in smart safes, cash in licensee-owned locations, debit card or credit card-funded transmission receivables owed by any bank, or money market mutual funds rated "AAA" by S&P, or the equivalent from any eligible rating service;

(2) certificates of deposit or senior debt obligations of an insured depository institution, as defined in Section 3 of the Federal Deposit Insurance Act, 12 U.S.C. Section 1813, as amended or recodified from time to time, or as defined

under the federal Credit Union Act, 12 U.S.C. Section 1781, as amended or recodified from time to time;

(3) an obligation of the United States or a commission, agency, or instrumentality thereof; an obligation that is guaranteed fully as to principal and interest by the United States; or an obligation of a state or a governmental subdivision, agency, or instrumentality thereof;

(4) the full drawable amount of an irrevocable standby letter of credit for which the stated beneficiary is the [Commissioner] that stipulates that the beneficiary need only draw a sight draft under the letter of credit and present it to obtain funds up to the letter of credit amount within [7] days of presentation of the items required by [Section 10.04(a)(4)(C)]. * * *

(5) One hundred percent of the surety bond [or deposit] provided for under [Section 10.02] that exceeds the average daily money transmission liability in this state.

(b) Unless permitted by the [Commissioner] by rule or by order to exceed the limit as set forth herein, the following investments are permissible under [Section 10.03] to the extent specified:

(1) receivables that are payable to a licensee from its authorized delegates in the ordinary course of business that are less than seven days old, up to 50% of the aggregate value of the licensee's total permissible investments;

(2) of the receivables permissible under [Section 10.04(b)(1)], receivables that are payable to a licensee from a single authorized delegate in the ordinary course of business may not exceed 10% of the aggregate value of the licensee's total permissible investments.

(3) the following investments are permissible up to 20% per category and combined up to 50% of the aggregate value of the licensee's total permissible investments: (A) A short-term (up to six months) investment bearing an eligible rating; (B) Commercial paper bearing an eligible rating; (C) A bill, note, bond, or debenture bearing an eligible rating; (D) U.S. tri-party repurchase agreements collateralized at 100% or more with U.S. government or agency securities, municipal bonds, or other securities bearing an eligible rating; (E) Money

market mutual funds rated less than "AAA" and equal to or higher than "A-" by S&P, or the equivalent from any other eligible rating service; and (F) A mutual fund or other investment fund composed solely and exclusively of one or more permissible investments listed in [Section 10.04(a)(1)–(3)].

* * *

ARTICLE XI — Enforcement [Optional]

Section 11.05 [Optional]: Criminal Penalties.

(a) A person that intentionally makes a false statement, misrepresentation, or false certification in a record filed or required to be maintained under this [Act] or that intentionally makes a false entry or omits a material entry in such a record is guilty of a [reference to state classification] felony.

(b) A person that knowingly engages in an activity for which a license is required under this [Act] without being licensed under this [Act] and who receives more than [$500] in compensation within a 30-day period from this activity is guilty of a [reference to state classification] felony.

(c) A person that knowingly engages in an activity for which a license is required under this [Act] without being licensed under this [Act] and who receives no more than [$500] in compensation within a 30-day period from this activity is guilty of a [reference to state classification] misdemeanor.

Section 11.07 [Optional]: Unlicensed Persons.

(a) If the [Commissioner] has reason to believe that a person has violated or is violating [Section 5.01], the [Commissioner] may issue an order to show cause why an order to cease and desist should not issue requiring that the person cease and desist from the violation of [Section 5.01].

(b) In an emergency, the [Commissioner] may petition the [appropriate court] for the issuance of a temporary restraining order ex parte pursuant to the rules of civil procedure.

* * *

ARTICLE XII — Miscellaneous Provisions

Section 12.01 Uniformity of Application and Construction. In applying and construing this [Act], consideration must be given to the need to promote uniformity of the law with respect to its subject matter among states that enact it.

* * *

Section 12.03 Transition Period.

(a) A person licensed in this state to engage in the business of money transmission shall not be subject to the provisions of this [Act], to the extent that they conflict with current law or establish new requirements not imposed under current law, until such time as the licensee renews its current license or for [X months] after the effective date of this [Act], whichever is later.

* * *

(c) [Optional for States Not Previously Regulating Payroll Processors] A person providing payroll processing services in this state without a license shall not be considered in violation of [Section 5.01] if the person applies for a license within [6-months] of the enactment of this Act, or [April 1, 202X], whichever is later. The [Commissioner] may for good cause extend the transition period in conjunction with the extension of an application period.

DOCUMENT 6

18 U.S.C. § 1960 — Prohibition of unlicensed money transmitting businesses

SOURCE United States Code, Title 18, Part I, Chapter 95. Added Pub. L. 102–550 (1992); amended Pub. L. 107–56, § 373 (USA PATRIOT Act, Oct. 26, 2001); Pub. L. 109–177 (2006). https://www.law.cornell.edu/uscode/text/18/1960

EDITOR'S NOTE

Before the 2001 amendment, the statute reached a business "knowingly operated" without a state license. Compare the current text of subsection (b)(1)(A).

(a) Whoever knowingly conducts, controls, manages, supervises, directs, or owns all or part of an unlicensed money transmitting business, shall be fined in accordance with this title or imprisoned not more than 5 years, or both.

(b) As used in this section—

(1) the term "unlicensed money transmitting business" means a money transmitting business which affects interstate or foreign commerce in any manner or degree and—

(A) is operated without an appropriate money transmitting license in a State where such operation is punishable as a misdemeanor or a felony under State law, whether or not the defendant knew that the operation was required to be licensed or that the operation was so punishable;

(B) fails to comply with the money transmitting business registration requirements under section 5330 of title 31, United States Code, or regulations prescribed under such section; or

(C) otherwise involves the transportation or transmission of funds that are known to the defendant to have been derived from a criminal offense or are intended to be used to promote or support unlawful activity;

(2) the term "money transmitting" includes transferring funds on behalf of the public by any and all means including but not limited to transfers within this country or to locations abroad by wire, check, draft, facsimile, or courier; and

(3) the term "State" means any State of the United States, the District of Columbia, the Northern Mariana Islands, and any commonwealth, territory, or possession of the United States.

DOCUMENT 7

31 C.F.R. § 1010.100(ff) — Money services business (excerpt)

SOURCE Code of Federal Regulations, Title 31, Chapter X (Financial Crimes Enforcement Network). Current through October 15, 2026. https://www.ecfr.gov/current/title-31/section-1010.100

EDITOR'S NOTE

Registration of money services businesses with FinCEN is required by 31 U.S.C. § 5330 and 31 C.F.R. § 1022.380. This definition decides who must register. Compare (ff)(5)(ii)(B) and (F) with § 3.01(b) of the model act.

(ff) Money services business. A person wherever located doing business, whether or not on a regular basis or as an organized or licensed business concern, wholly or in substantial part within the United States, in one or more of the capacities listed in paragraphs (ff)(1) through (ff)(7) of this section. This includes but is not limited to maintenance of any agent, agency, branch, or office within the United States.

* * *

(5) Money transmitter—

(i) In general. (A) A person that provides money transmission services. The term "money transmission services" means the acceptance of currency, funds, or other value that substitutes for currency from one person and the transmission of currency, funds, or other value that substitutes for currency to another location or person by any means. "Any means" includes, but is not limited to, through a financial agency or institution; a Federal Reserve Bank or other facility of one or more Federal Reserve Banks, the Board of Governors of the Federal Reserve System, or both; an electronic funds transfer network; or an informal value transfer system; or

(B) Any other person engaged in the transfer of funds.

(ii) Facts and circumstances; Limitations. Whether a person is a money transmitter as described in this section is a matter of facts and

circumstances. The term "money transmitter" shall not include a person that only:

(A) Provides the delivery, communication, or network access services used by a money transmitter to support money transmission services;

(B) Acts as a payment processor to facilitate the purchase of, or payment of a bill for, a good or service through a clearance and settlement system by agreement with the creditor or seller;

(C) Operates a clearance and settlement system or otherwise acts as an intermediary solely between BSA regulated institutions. This includes but is not limited to the Fedwire system, electronic funds transfer networks, certain registered clearing agencies regulated by the Securities and Exchange Commission ("SEC"), and derivatives clearing organizations, or other clearinghouse arrangements established by a financial agency or institution;

(D) Physically transports currency, other monetary instruments, other commercial paper, or other value that substitutes for currency as a person primarily engaged in such business, such as an armored car, from one person to the same person at another location or to an account belonging to the same person at a financial institution, provided that the person engaged in physical transportation has no more than a custodial interest in the currency, other monetary instruments, other commercial paper, or other value at any point during the transportation;

(E) Provides prepaid access; or

(F) Accepts and transmits funds only integral to the sale of goods or the provision of services, other than money transmission services, by the person who is accepting and transmitting the funds.

* * *

(8) Limitation. For the purposes of this section, the term "money services business" shall not include:

(i) A bank or foreign bank;

(ii) A person registered with, and functionally regulated or examined by, the SEC or the CFTC, or a foreign financial agency that engages in financial activities that, if conducted in the United States, would require the foreign financial agency to be registered with the SEC or CFTC; or

(iii) A natural person who engages in an activity identified in paragraphs (ff)(1) through (ff)(5) of this section on an infrequent basis and not for gain or profit.

DOCUMENT 8

Louisiana Money Transmission Act — Act 888 (H.B. 1230) of the 2026 Regular Session

SOURCE Louisiana Office of Financial Institutions, Non-Depository Division, "2026 Legislative Summary" to LMTA licensees, June 15, 2026. https://ofi.la.gov/wp-content/uploads/2026/06/NonDep_2026_LMTA_LegislationFinal.pdf. Full text of Act 888 at www.legis.la.gov.

EDITOR'S NOTE

The Office of Financial Institutions is the same agency that wrote to PayPal's counsel on February 7, 2002. Its summary of the 2026 Act, which the Office describes as informational and not an official interpretation, reports the following.

- Act 888 enacts the Louisiana Money Transmission Act and repeals the Sale of Checks and Money Transmission Act, which dated from 1966 — the statute PayPal was applying under in 2002.
- The Act is based primarily on the CSBS Model Money Transmission Modernization Act; the Office notes that over 30 states have adopted the model.
- It streamlines multistate licensing and supervision and standardizes definitions and exemptions.
- It increases tangible net worth and surety bond requirements, sets uniform permissible-investment rules, and requires audited financial statements and quarterly reporting through NMLS.
- It standardizes requirements for licensees operating through authorized agents and expands the Commissioner's enforcement authority.
- Transition: an existing licensee is not subject to conflicting or new requirements until it renews its license or twelve months after the effective date, whichever is later.
- Signed June 9, 2026; effective July 1, 2026.

[End of packet.]